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ESG • BRSR • GHG • Net Zero • Carbon Neutral Assurance • Energy Audits

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Finding Report (CAR / CR / FAR)

Document No.	**MDSSPL-CNA-R0003**	**Rev.**	1.0	**Issue Date**	05 NOV 2026	**Approved**	Director
Service	Carbon Neutral Assurance (Service code CNA)					**Service Group**	Carbon and climate

Engagement details			
Client / Organization		**Engagement Ref.**	
Site(s) / Boundary		**Verification Type**	☐ Initial ☐ Surveillance / Re-verification ☐ Follow-up
Criteria / Standards	☐ ISO 14068-1:2023 ☐ ISO 14064-3:2019 ☐ ISO 14064-1:2018 ☐ ISO 14067:2018 ☐ ISAE 3410 ☐ Crediting programme rules ☐ Other [ ]		
Assessment Period		**Subject of Claim**	☐ Organization ☐ Product ☐ Event ☐ Building
Carbon Footprint (tCO_2e)		**Credits Retired (tCO_2e)**	
Level of Assurance	☐ Reasonable ☐ Limited	**Materiality / Tolerance (%)**	
Lead Verification		**Date of Finding**	

Finding			
Finding No.		**Date Raised**	
Type of Finding	☐ CAR – Corrective Action Request ☐ CR – Clarification Request ☐ FAR – Forward Action Request		
Category	☐ Critical ☐ Major ☐ Minor ☐ Concern		
Nature of Finding	☐ Footprint misstatement ☐ Carbon credit non-conformity ☐ Non-conformity with ISO 14068-1		
Area	☐ Footprint ☐ Reductions / Removals ☐ Offsetting / Credits ☐ Report / Claim	**Registry / Credit Serial No.**	
Impact (tCO_2e)		**% of Carbon Footprint**	

Description of finding		
Detail of finding		
Objective evidence (documents, records, data sampled, site observations)		
Requirement (quote the applicable clause / requirement)		
Clause reference	*Select from the lists below; add other criteria in the last row.*	
ISO 14068-1:2023	– Select –	– Select –
ISO 14064-3:2019	– Select –	
ISO 14064-1:2018	– Select –	

Other criteria / ref.			
Lead Verifier		**Auditee Representative**	
Date		**Date**	

Response by the client			
Root cause			
Correction (immediate)			
Corrective action			
Revised footprint / credit requirement (tCO_2e)			
Proposed completion date		**Submitted by / Date**	

Review and closure by MDSSPL			
Acceptance of root cause and correction	☐ Accepted ☐ Not accepted Comments:		
Verification of corrective action			
Finding status	☐ Open ☐ Closed ☐ Carried forward as FAR ☐ Affects carbon neutrality claim		
Lead Verifier signature		**Date of closure**	

Annex A – ISO 14068-1:2023 Clause Reference

Clause / Ref.	Title / Requirement
Clause 4 – Principles	
4.1	General
4.2	Transparency
4.3	Conservativeness
4.4	Hierarchy approach
4.5	Supporting transition
4.6	Ambition
4.7	Urgency
4.8	Science-based approach
4.9	Avoiding adverse impacts
4.10	Accountability
4.11	Value chain and life cycle approach
Clause 5 – Approach	
5.1	Framework
5.2	Carbon neutrality management hierarchy
5.3	Carbon neutrality pathway
5.4	Documented information
Clauses 6 – 8	
6	Commitment to carbon neutrality
7.1	Selection of the subject and its boundary – General
7.2	Selection of the subject – Documented information
8.1	Quantification of GHG emissions and removals
8.2	Quantification – Documented information
Clause 9 – Carbon neutrality management plan	
9.1	Content of carbon neutrality management plan
9.2	Ambition
9.3	Evaluation and revision of the carbon neutrality management plan
9.4	Management plan – Documented information
Clause 10 – GHG emission reductions and GHG removal enhancements	
10.1	GHG emission reductions
10.2	GHG removal enhancements
10.3	Reductions and removals – Documented information
Clause 11 – Offsetting the carbon footprint	
11.1	Offsetting – General
11.2	Criteria for carbon credits
11.3	Criteria for carbon crediting programmes
11.4	Offsetting – Documented information
Clauses 12 – 13 and Annexes	
12	Carbon neutrality report
13	Carbon neutrality claims
Annex A	Carbon neutrality pathway (informative)

Clause / Ref.	Title / Requirement
Annex B	Additional requirements for specific cases (normative)
Annex D	Ambition (informative)

Annex B – ISO 14064-3:2019 Clause Reference

Clause	Title	Typical verification focus
Clause 4 – Principles		
4.2	Impartiality	Verifier independence and absence of conflicts of interest
4.3	Evidence-based approach	Conclusions based on sufficient, appropriate evidence
4.4	Fair presentation	Findings and opinion reported truthfully and accurately
4.5	Documentation	Verification work and basis of conclusions documented
4.6	Conservativeness	Conservative assumptions where uncertainty exists
Clause 5 – Requirements applicable to verification		
5.1.3	Level of assurance	Reasonable or limited assurance agreed
5.1.4 – 5.1.6	Objectives, criteria and scope	Verification objectives, criteria (e.g. ISO 14064-1) and scope agreed
5.1.7	Materiality thresholds	Quantitative / qualitative materiality applied to findings
5.4.1	Verifier communication	Findings communicated to the responsible party for correction
5.4.2	Sufficiency of evidence	Evidence adequate to support conclusion on the finding
5.4.3	Intentional misstatement	Handling of suspected intentional misstatements
5.4.4	Documented information	Records of findings, responses and closure retained
Clause 6 – Verification		
6.1.1	Strategic analysis	Understanding of activities, sources and data flows
6.1.2	Risk assessment	Risks of material misstatement and non-conformity identified
6.1.3.2	Data trail	Tracing data from source records to the GHG statement
6.1.3.3	GHG information system and controls	Testing of controls over GHG data
6.1.3.4	GHG data and information	Testing of activity data, emission factors and calculations
6.1.3.5	Data aggregation process	Consolidation of facility data into the GHG statement
6.1.3.6	Verification activities and techniques	Analytical, control and estimate testing; sampling; ownership
6.1.4	Site visits	Site selection and on-site verification activities
6.2	Execution	Evidence-gathering carried out as planned
6.3.1.2	Sufficiency and appropriateness of evidence	Whether evidence supports closure of the finding
6.3.1.3	Evaluation of material misstatements	Individual and aggregate misstatements against materiality
6.3.1.4	Evaluation of conformity with criteria	Non-conformities with ISO 14064-1 or programme rules
6.3.1.5	Evaluation of changes from prior periods	Base-year / prior-period changes
6.3.2	Conclusion and draft opinion	Effect of unresolved findings on the opinion
6.3.3	Verification report	Findings summarised in the verification report
Clauses 8 – 10		
8	Independent review	Review of findings and conclusions before opinion
9	Issuance of opinion	Unmodified, modified, adverse opinion or disclaimer
10	Facts discovered after the verification	Handling of facts found after issue of the opinion

Annex C – ISO 14064-1:2018 Clause Reference

Clause	Title	Typical verification focus
Clause 4 – Principles		
4.2	Relevance	Sources, sinks, data and methods suit the needs of intended users
4.3	Completeness	All relevant emissions and removals within the boundary are included
4.4	Consistency	Methods, boundaries and data applied consistently to allow comparison
4.5	Accuracy	Bias and uncertainty reduced as far as practical
4.6	Transparency	Sufficient, appropriate information disclosed to support decisions
Clause 5 – GHG inventory boundaries		
5.1	Organizational boundaries	Consolidation approach (control / equity share) defined and applied to all facilities
5.2.1	Establishing reporting boundaries	Reporting boundaries defined and documented; changes explained
5.2.2	Direct GHG emissions and removals	All direct (Category 1) emissions and removals quantified separately
5.2.3	Indirect GHG emissions	Process to identify and evaluate significant indirect emissions
5.2.4	GHG inventory categories	Emissions aggregated into Categories 1–6; significance criteria and exclusions justified
Clause 6 – Quantification of GHG emissions and removals		
6.1	Identification of GHG sources and sinks	Source/sink list complete and linked to categories
6.2.1	Selection of quantification approach – General	Approach minimises uncertainty and gives accurate, consistent results
6.2.2	Data selection and collection used for quantification	Activity data, measurement, meters, invoices and data gaps
6.2.3	Selection or development of GHG quantification model	Emission factors, GWP values and calculation models are appropriate and referenced
6.3	Calculation of GHG emissions and removals	Calculations correct, converted to tCO_2e using appropriate GWPs
6.4.1	Selection and establishment of base year	Base year chosen, justified and quantified
6.4.2	Review of base-year GHG inventory	Recalculation policy and triggers (structural / methodology changes)
Clause 7 – Mitigation activities		
7.1	GHG emission reduction and removal enhancement initiatives	Initiatives documented and reported separately where quantified
7.2	GHG emission reduction or removal enhancement projects	Purchased/developed project units reported separately from the inventory
7.3	GHG emission reduction or removal enhancement targets	Targets, base year and progress reported where applicable
Clause 8 – GHG inventory quality management		
8.1	GHG information management	Procedures, data controls, internal checks, roles and competence
8.2	Document retention and record keeping	Records retained and retrievable for verification
8.3	Assessing uncertainty	Uncertainty of quantification approaches and data assessed
Clause 9 – GHG reporting		
9.1	General	GHG report prepared where public claims or verification are intended
9.2	Planning the GHG report	Purpose, intended users, frequency and structure defined

Clause	Title	Typical verification focus
9.3.1	GHG report content – Required information	All mandatory report elements included (e.g. boundaries, categories, base year, methods, exclusions)
9.3.2	Recommended information	Recommended disclosures considered
9.3.3	Optional information and associated requirements	Optional disclosures meet stated requirements
Clause 10 – Organization's role in verification activities		
10	Organization's role in verification activities	Access to data, records, sites and personnel; correction of findings
Annexes		
Annex B	Categorization of direct and indirect GHG emissions	Correct allocation of sources to Categories 1–6
Annex D	Treatment of biogenic GHG emissions and CO_2 removals (normative)	Biogenic CO_2 reported separately
Annex E	Treatment of electricity (normative)	Location-/market-based treatment, contractual instruments
Annex F	GHG inventory report structure and organization	Report layout and completeness

Annex D – Finding Types and Categories

Term	Meaning
CAR	Corrective Action Request: a misstatement or non-conformity that must be corrected and closed before a positive conclusion, opinion, certificate or claim can be issued.
CR	Clarification Request: information is insufficient or unclear to decide whether a requirement is met; the client must provide clarification or evidence.
FAR	Forward Action Request: an issue to be addressed and checked in the next period; it does not prevent the current conclusion.
Footprint misstatement	Error or omission in the quantified carbon footprint that exceeds tolerance or affects the claim.
Carbon credit non-conformity	Credits do not meet ISO 14068-1, 11.2 / 11.3 (e.g. not retired, wrong vintage, double counting, serial numbers not traceable in the public registry).
Non-conformity with ISO 14068-1	Commitment, management plan, hierarchy, report or claim does not meet ISO 14068-1.
Critical	Finding that alone makes the reported information materially wrong or prevents a conclusion; immediate correction required.
Major	Systematic or significant failure that could lead to a material error or invalid claim if not corrected.
Minor	Isolated lapse not likely to cause a material error or invalid claim on its own.
Concern	Observation or opportunity for improvement; no action is mandatory.

Severity categories are suggested definitions aligned with MDSSPL procedures. Clause titles are summarized for reference; refer to the licensed standards and current regulatory texts for full requirements.